regulation is strongest at the bottom of the cycle, when there is little need for participants to be regulated. By contrast, the misconception that markets will take care of themselves is most widespread at the top of the cycle, at the point of maximum danger to the system. We need to acknowledge these differences and enact cycle-proof regulation, for a regulation set against the cycle will not stand.

Consider the dangers of ignoring this point. Recent reports have argued for 'countercyclical' capital requirements – raising bank capital requirements significantly in good times, while allowing them to fall somewhat in bad times. While sensible prima facie, these proposals may be far less effective than intended.

To see why, recognize that in boom times, the market demands very low levels of capital from financial intermediaries, in part because euphoria makes losses seem remote. So when regulated financial intermediaries are forced to hold more costly capital than the market requires, they have an incentive to shift activity to unregulated intermediaries, as did banks in setting up SIVs and conduits during the current crisis. Even if regulators are strengthened to detect and prevent this shift in activity, banks can subvert capital requirements by taking on risk the regulators do not see, or do not penalize adequately with capital requirements.

Attempts to reduce capital requirements in busts are equally fraught. The risk-averse market wants banks to hold a lot more capital than regulators require, and its will naturally prevails.

Even the requirements themselves may not be immune to the cycle. Once memories of the current crisis fade, and once the ideological cycle turns, there will be enormous political pressure to soften capital requirements or their enforcement.

To have a better chance of creating stability through the cycle – of being cycle-proof – new regulations should be comprehensive,